

HAWASSA UNIVERSITY

INSTITUTE OF TECHNOLOGY



FACULTY OF ELECTRICAL ENGINEERING

DEPARTEMENT OF BIOMEDICAL ENGINEERING

ENTREPRENEURSHIP BUSINESS PLAN

TITLE:ABOLE COFFEE

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1.EXECUTIVE SUMMARY

1.1Description of the Project

- ✧ Abole Coffee is a startup coffee house to be established near Hawassa University with the aim of serving high-quality Ethiopian coffee and light meals in a comfortable, student-friendly environment. The business targets university students, staff, and the surrounding community by offering affordable prices, fast service, and a relaxing atmosphere suitable for social interaction and study. Ethiopia's strong coffee culture and the high concentration of young consumers around the university create an excellent opportunity for sustainable growth. Abole Coffee will operate as a small-scale enterprise with potential for future expansion.
- ✧ Abole Coffee is a coffee house business that will provide freshly brewed Ethiopian coffee, tea, juices, and simple food items such as breakfast and snacks. The shop will be strategically located near Hawassa University to capture high daily foot traffic from students and staff. The project emphasizes quality, affordability, and a welcoming environment.

1.2 Profile of the Entrepreneur

The entrepreneur(s) behind Abole Coffee are young, motivated individuals with strong interest in entrepreneurship and service businesses. They possess basic knowledge of business management, customer service, and teamwork. Their close understanding of student lifestyle and preferences gives them a competitive advantage in serving the target market effectively.

- The entrepreneur(s) demonstrate the following competencies:

Basic knowledge of entrepreneurship and small business management

Customer service and communication skills

Understanding of coffee culture and consumer preferences

Ability to manage daily operations and staff

1.3 Contributions to the local and national Economy

Abole Coffee will contribute to the local and national economy by:

- Creating employment opportunities for youth (baristas, waiters, cashiers)
- Supporting local coffee farmers and suppliers
- Generating tax revenue for local government
- Promoting Ethiopian coffee culture

Encouraging small-scale entrepreneurship near educational institutions

Local level: Job creation, increased commercial activity near Hawassa University, improved services for students

National level: Support for Ethiopia's coffee value chain, tax contribution, and promotion of local products

1.4 Mission Statement

Abole Coffee's mission is to preserve and share authentic Ethiopian coffee culture by providing high-quality, ethically sourced coffee products and a culturally rich coffee experience that connects tradition with modern lifestyles.

We aim to empower local coffee farmers, promote sustainability, and create a welcoming space where coffee is not just consumed, but experienced.

1.5 Summary of Activity to Date

Abole Coffee has completed the initial concept development and market research phase. During this period, we Studied local and regional coffee consumption habits

Identified customer demand for culturally authentic and premium coffee experiences

Researched sustainable coffee sourcing and quality standards

1.6 Current Stage of Development

Abole Coffee is currently in the early startup / pre-launch stage

The business is transitioning from planning to execution, with focus on:

- ✓ Finalizing product offerings and suppliers
- ✓ Developing brand identity (logo, packaging, and messaging)
- ✓ Preparing operational plans for coffee production and service deliver
- ✓ Exploring partnerships with local coffee farmers and suppliers

1.7 Core of competencies

Abole Coffee's strengths are built around the following competencies:

1. Cultural Authenticity

2. Deep understanding of Ethiopian coffee traditions, especially the Abol coffee ceremony, which creates a unique and meaningful customer experience.

2. Quality Focus

Commitment to high-quality coffee beans, careful roasting, and proper brewing methods to ensure consistent taste and aroma.

3. Customer Experience Design

Ability to blend tradition with modern service, creating an inviting environment that appeals to both local customers and tourists.

4. Sustainable Sourcing Awareness

Focus on ethical sourcing, supporting local farmers, and promoting environmentally responsible practices.

5. Brand Storytelling

Strong brand identity rooted in culture, history, and community, helping Abole Coffee stand out in a competitive market.

1.8 Product or Service

- Ethiopian coffee (traditional and modern preparation)
- Tea and fresh juices
- Breakfast items and light snacks

1.9 Benefits to Customers

Affordable prices suitable for students

Convenient location near the university

Comfortable space for socializing and studying

Fast and friendly service

1.10 Differences from Current Offerings

Better ambience compared to small local coffee shops

Student-focused pricing

Consistent quality and hygiene

Extended operating hours

1.11 Objectives

- To become a preferred coffee house near Hawassa University
- To reach break-even within the first three years
- To create employment opportunities
- To expand to additional locations in the future

1.12 Keys to Success

- Strategic location near Hawassa University
- Affordable and competitive pricing
- High-quality coffee and consistent service
- Strong customer relationships

2.MARKETING PLAN

2.1 Product Description

Abole Coffee offers coffee and related food and beverage services. The main products include

- ✓ Traditional Ethiopian coffee
- ✓ Espresso-style coffee
- ✓ Tea and fresh juices
- ✓ Breakfast items and light snacks

The product is mainly a service experience, combining quality beverages, friendly service, and a comfortable environment for students and local customers.

2.2 Product Comparison with Its Competitors

Quality

Abole Coffee focuses on fresh, locally sourced Ethiopian coffee beans

Better hygiene, consistency, and presentation than small local coffee shops

Faster service compared to traditional neighborhood coffee houses

Price:

Prices are lower than high-end cafes

Slightly higher but more reasonable than informal street coffee due to better service and ambience

Student-friendly pricing gives Abole Coffee a competitive advantage

Overall, Abole Coffee provides better value for money by balancing quality and affordability.

2.3 Location and Market Area

The business will be located near Hawassa University, a high-traffic area with constant demand for coffee and food services.

Geographical areas will covered Hawassa University campus surroundings

Nearby residential areas, Small offices and commercial shops close to the university

Main customers

- University students
- Academic and administrative staff
- Local residents
- Visitors and travelers near the university
- Students will be the primary target market due to their daily coffee consumption habits.

2.4 Total Demand and Market Share

Coffee consumption around Hawassa University is high and continuous due to:

- Large student population
 - Strong Ethiopian coffee culture
 - Limited quality coffee houses near campus
- It is estimated that hundreds of cups of coffee are sold daily within the immediate area.
- ✧ Abole Coffee aims to capture 5–10% of the local coffee market in the first year by offering better service, fair pricing, and a convenient location. Market share is expected to grow as customer loyalty increases.

2.5 Selling Price and Sales Forecast

Product	Average Price (ETB)
Cup of coffee	15 – 25
Tea	10 – 15
Juice	50 – 60
Breakfast/snacks	30 – 50

Estimated 150–250 cups of beverages per day will be sold

Daily sales volume will increase during exam periods and weekends

Monthly sales are projected to grow steadily as the business gains recognition

2.6 Promotional Measures and Marketing Budget

- ❖ Distribution of flyers around Hawassa University
- ❖ Social media promotion (Telegram, Facebook, Instagram)
- ❖ Student discounts and loyalty offers
- ❖ Attractive signage and branding
- ❖ Word-of-mouth promotion

Marketing budget

Initial promotion cost: 5,000–7,000 ETB

Monthly marketing budget: 2,000–3,000 ETB

These costs cover printing, online promotions, and small branding materials.

2.7 Marketing Strategy

Abole Coffee will adopt a focused differentiation strategy, which includes:

Targeting students with affordable pricing, Maintaining consistent product quality, Creating a comfortable and clean environment, Offering fast and friendly service and Building customer loyalty through discounts and promotions

- ✓ By aligning price, quality, and location with customer needs, the business will achieve its projected sales and long-term sustainability.

3.PRODUCTION PLAN

3.1 Production Process

Abole Coffee follows a simple service-based production process, where production and consumption occur simultaneously. The main steps include:

- 1) Procurement of raw materials (coffee beans, milk, sugar, bread, fruits)
- 2) Storage in clean and hygienic conditions
- 3) Coffee preparation (roasting/grinding or brewing depending on product)
- 4) Food preparation (simple breakfast and snacks)
- 5) Serving customers in the coffee house

3.2 Fixed Assets Needed, Their Life, Maintenance and Repairs, Sources, Terms & Conditions

Fixed assets required

Fixed Asset	Estimated Cost (ETB)	useful life(years)
Coffee machine	60,000	8-10
Grinder	15,000	5-7
Refrigerator	25,000	7-10
Gas stove	10,000	6-8
Tables & chairs	50,000	7-10
Cups, plates, utensils	20,000	3-5
Counter & shelves	20,000	10
Total	~200,000 ETB	

Maintenance and repairs

- ❖ Daily cleaning by staff
- ❖ Periodic servicing of coffee machines and grinders
- ❖ Minor repairs handled locally

Spare parts availability

Spare parts for coffee machines, grinders, and refrigerators are available locally in Hawassa and Addis Ababa.

Source, terms & conditions

Assets will be purchased from local suppliers and distributors, Payment will be made in cash or short-term installment and No complex import procedures are required

3.3 Capacity Planned and Future

How much capacity will be used and future plans?

Planned capacity:

200–300 cups of coffee and beverages per day

50–80 food items per day

Capacity utilization:

Year 1: ~60–70%

Year 2: ~80%

Year 3: ~90–100%

Future plans:

Increase seating capacity

Add new beverage varieties Open additional branches near other institutions

3.4 Factory Location and Layout

Location:

Near Hawassa University

Easily accessible to students and staff

Layout arrangement:

Customer seating area

Coffee preparation and serving counter

Small kitchen section

Storage area

Cashier section

3.5 Raw Materials Needed, Their Sources, Cost and Availability

Raw materials required

Raw Material	Source	Availability	Estimated Monthly Cost (ETB)
Coffee beans	Local suppliers	Year-round	15,000
Milk	Local dairy suppliers	Year-round	8,000
Sugar	Local markets	Year-round	3,000
Bread & snacks	Local bakeries	Daily	6,000
Fruits	Local markets	Seasonal	5000
Water & gas	Utility providers	Year-round	4000

All raw materials are locally available and reliable throughout the year.

3.6 Labour Needed, Availability, Productivity & Costs

Labour requirement

Position	Number	Monthly Salary (ETB)
Barista	1	4,000
Waiters	2	6,000
Cashier	1	4,000
Cleaner	1	3,000
Total	5	17,000

Labour availability and productivity

- ✓ Labour is readily available in Hawassa
- ✓ Workers are available throughout the year
- ✓ Productivity is expected to be high due to simple tasks and shift arrangements
- ✓ No seasonal labor shortage is expected.

3.7 Overhead Expenses

- i. Electricity and water
- ii. Gas
- iii. Maintenance and repairs
- iv. Advertising and promotion
- v. Communication expenses
- vi. Cleaning and sanitation supplies
- vii. Estimated monthly overhead cost: 12,000–15,000 ETB

3.8 Production Cost

Estimated total monthly production cost: 45,000–50,000 ETB

Estimated monthly output: 6,000 cups of beverages

Production cost per cup:

≈ 7–9 ETB per cup

4.ORGANIZATION AND MANAGEMENT PLAN

4.1 Form of Business

Abole Coffee will be organized as a sole proprietorship or partnership (depending on final ownership decision). This form is chosen because:

It is easy to establish and manage

Requires limited legal procedures

Allows quick decision-making

Suitable for small-scale service businesses

The owner(s) will have full control over operations and profit distribution.

4.2 Organizational Structure

- ❖ The business will have a simple and efficient organizational structure to minimize costs and ensure smooth operations.

Owner / General Manager

Barista

Waiters

Cashier

Cleaner

Management and operation

The owner/manager oversees daily operations

Staff report directly to the owner

Decisions related to purchasing, pricing, and marketing are made by the owner

Daily supervision ensures service quality and customer satisfaction

4.3 Entrepreneur Experience and Qualifications

❖ The entrepreneur(s) have:

Basic training in entrepreneurship and business management

Knowledge of customer service and food handling

Understanding of the local market and student lifestyle

Strong motivation, leadership, and communication skills

4.4 Pre-Operating Activities and Expenses

❖ Pre-operating activities include:

Business registration and licensing

Securing shop location and rent advance

Purchase of equipment and furniture

Renovation and layout arrangement

Recruitment and training of staff

Initial marketing and promotio

Estimated pre-operating expenses:

Activity	Estimated Cost (ETB)
Licensing & registration	5,000
Rent advance	30,000
Renovation & decoration	20,000
Equipment purchase	200,000
Initial marketing	5,000
Training & setup	10,000
Total	270,000 ETB

4.5 Office Equipment

❖ The office section will require minimal equipment, including:

- 1) Office desk and chair
- 2) Cash register
- 3) Computer or tablet
- 4) Filing cabinet
- 5) Telephone/mobile phone

These items are necessary for record keeping, sales tracking, and administration.

4.6 Administrative Expenses

❖ Monthly administrative expenses include:

Office supplies (paper, pens, receipts)

Communication costs (phone and internet)

Accounting and record-keeping expenses

Licensing renewal fees

Minor office maintenance

Estimated monthly administrative cost: 3,000–5,000 ETB

5.FINANCIAL PLAN

5.1 Project Cost (Initial Capital Investment)

- ✓ The total capital required to start Abole Coffee includes fixed assets, pre-operating expenses, and initial working capital.

Initial Capital Investment

Item	Cost (ETB)
Coffee machines & equipment	100,000
Furniture (tables, chairs, counter)	50,000
Refrigerator & kitchen equipment	30,000
Utensils & accessories	20,000
Renovation & decoration	20,000
Licensing & registration	5,000
Initial marketing	5,000
Working capital (3 months)	70,000
Total Capital Requirement	300,000 ETB

- Total initial capital requirement = 300,000 ETB

5.2 Financing Plan and Loan Requirement

- a loan is required to finance part of the project.

Percentage	Amount (ETB)	Percentage
Entrepreneur's own capital	120,000	40%
Bank / Microfinance loan	180,000	60%
Total	300,000 ETB	100%

- The entrepreneur contributes personal savings, while the remaining amount is financed through a loan.

5.3 Security for Loan and Repayment Schedule

Security (Collateral):

- Coffee machines and equipment
- Furniture and fixed assets
- Personal guarantee of the entrepreneur

Repayment Schedule:

- Loan amount: 180,000 ETB
- Loan period: 3 years
- Repayment: Monthly installments
- Repayment source: Operating profit and cash inflow

The business's steady daily cash sales make loan repayment feasible.

5.4 Profit and Loss Statement

The Profit and Loss Statement shows the profitability of the business over a specific period.

Projected Annual Profit and Loss (Year 1)

Item	Amount (ETB)
Total Sales Revenue	350,000
Cost of Production	210,000
Gross Profit	140,000
Operating Expenses	90,000
Net Profit	50,000 ETB

The statement indicates that Abole Coffee is profitable from the first year.

5.5 Cash Flow Statement

The Cash Flow Statement shows cash inflows and outflows and the business's ability to meet daily expenses.

Summary (Year 1)

- ✓ Cash inflow from daily sales is regular
- ✓ Cash outflow includes rent, salaries, raw materials, and utilities
- ✓ Net cash flow remains positive after the initial months

This indicates good liquidity and smooth operations.

5.6 Balance Sheet

The Balance Sheet shows the financial position of Abole Coffee at a specific date.

Projected Balance Sheet (End of Year 1)

Assets	ETB	Liabilities & Equity	ETB
Fixed Assets	200,000	Loan	150,000
Current Assets	80,000	Owner's Equity	130,000
Total Assets	280,000	Total	280,000

It indicates the business is financially stable.

5.7 Break-even Point and Return on Investment

Break-even Point (BEP):

Fixed costs $\approx$ 90,000 ETB/year

Contribution margin $\approx$ 40%

BEP $\approx$ 225,000 ETB in sales

The business is expected to reach break-even during the second to third year.

Return on Investment (ROI):

$ROI = \text{Net profit} / \text{Total Investment} * 100\%$

$ROI = 50000 / 300000 * 100\% = 16.7\%$

This shows a reasonable return for a small business.

5.8 Financial Analysis

The project is financially feasible because:

- Startup cost is reasonable
- Demand near Hawassa University is high
- Cash flow is stable and positive
- Loan repayment is manageable
- ROI is attractive for a small-scale enterprise